



CREATING A TRUST

KEY ENTITIES	NOTES
 Settlor	The person transferring his/her physical and financial assets to the trust's name
 Trustee	One or more individuals, or a corporate that manages and invests the assets, based on the trust's rules
 Beneficiaries	Persons or entities that receive the benefits
 Trust deed	A legal document on a stamp paper that lays out all the rules and regulations under which the trust will function
 Other aspects	A separate PAN and bank account in the Trust's name is mandatory

in corporate boardrooms. A sound will can go a long way in bequeathing assets in a smooth manner and reducing the possibility of lengthy disputes.

What goes into writing a legally sound and functionally smart will? What could happen in its absence? Where could things go wrong and lead to feuds? And when do additional documents become necessary to prove one's right to an inherited asset?

Wills are governed by the Indian Succession Act, 1925. Sections of the Act define a will, a person's capacity to write one, procedures

for defence, how a will can be revoked, and so on.

A person making a will, or Testator/Testatrix (a man or woman, respectively, who leaves behind a valid will) has to clearly mention his/her name, age, place of writing the document, and indicate it was made with a sound mind. It lists the person's assets and their beneficiaries to the last detail as to who gets how much. It also names the executor so that the person's directions can be carried out after he or she passes on. Finally, the will has to be signed by at least two witnesses.

Only those assets that are self-acquired, without joint ownership or where the testator/testatrix is the sole owner in case they are inherited, can be bequeathed though a will.

SOME DOs AND DON'Ts

"To avoid the will being challenged on medical grounds or due to claims of mental incapacity, it is recommended that a medical fitness certificate be attached. A video recording of the will being read and signed can also help in case of any challenges or disputes," says Haigreve Khaitan, managing part-